

OAU & UNIOSUN · OSUN STATE, NIGERIA

FUEL SUBSIDY REMOVAL AND UNDERGRADUATE SURVIVAL

How Nigeria's May 2023 fuel subsidy removal reshaped the cost of living, coping strategies, and academic wellbeing of undergraduate students — a quantitative survey analysis.

N = 200 RESPONDENTS · CROSS-SECTIONAL SURVEY · DESCRIPTIVE & INFERENCE ANALYSIS

A Widespread, Layered Economic Shock

200 undergraduates at OAU and UNIOSUN, surveyed on income, expenditure, coping strategies, and wellbeing since May 2023

This study investigates how the removal of Nigeria's fuel subsidy in May 2023 has affected the cost of living, coping strategies, and academic wellbeing of undergraduate students. Drawing on a 200-respondent survey across Obafemi Awolowo University (OAU) and Osun State University (UNIOSUN), the data show a near-universal increase in the cost of living that has outpaced income growth, prompting students to adopt multiple, simultaneous coping strategies — while rating institutional support as the least adequate of all available support sources.

96.5%

Report overall cost of living increased

4 of 5

Coping strategies adopted, on average

54.0%

Rate university palliatives as adequate

60.0%

Considered a break from studies

THE CENTRAL TENSION

84.5% say the subsidy removal hurt their quality of life, yet **91.0%** remain confident they'll complete their degree — and **66.0%** still see the policy as necessary for Nigeria's long-term development. Students distinguish sharply between personal hardship and the policy's macroeconomic rationale.

What This Report Covers

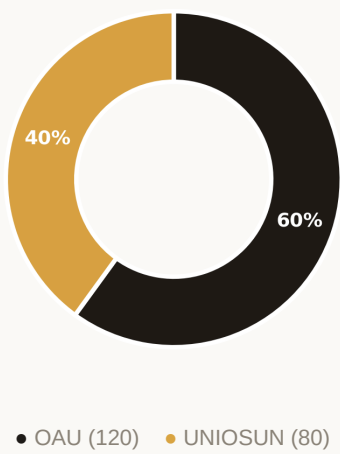
- 01 Respondent profile across two universities, gender, age, level, and living arrangement
- 02 Changes in income, expenditure, and the overall cost-of-living squeeze
- 03 Coping and survival strategies adopted by students
- 04 Perceived adequacy of family, peer, and institutional support systems
- 05 Wellbeing and academic-persistence implications
- 06 Formal hypothesis tests (paired t-test and Pearson correlation)
- 07 Recommendations for universities, government, and civil society

Methodology & Respondent Profile

Quantitative, cross-sectional survey design with a 100% response rate

Data were collected via a structured online questionnaire administered to 200 undergraduates — 120 from OAU and 80 from UNIOSUN — selected through convenience sampling across student WhatsApp groups, Telegram channels, and social media. All items used a five-point Likert scale (Strongly Disagree=1 to Strongly Agree=5). Descriptive statistics address the study's four objectives; a paired-samples t-test and Pearson correlation test two formal hypotheses, both at $\alpha = 0.05$.

RESPONDENTS BY UNIVERSITY



SAMPLE AT A GLANCE

Gender	62.0% Male · 37.5% Female
Modal age group	21–25 years (53.0%)
Largest year-of-study group	300 Level (33.5%)
Faculties represented	13 faculties
Largest faculty	Social Sciences (18.0%)
Living arrangement	67.0% on-campus hostel
Questionnaire response rate	100% (200 / 200)

SAMPLING NOTE

Respondents were required to have enrolled before May 2023, so that they could meaningfully compare pre- and post-removal experiences — which explains the low share of 100 Level students (5.5%).

The Squeeze: Expenditure Has Outrun Income

Mean agreement scores (1–5) — every expenditure category rose faster than income



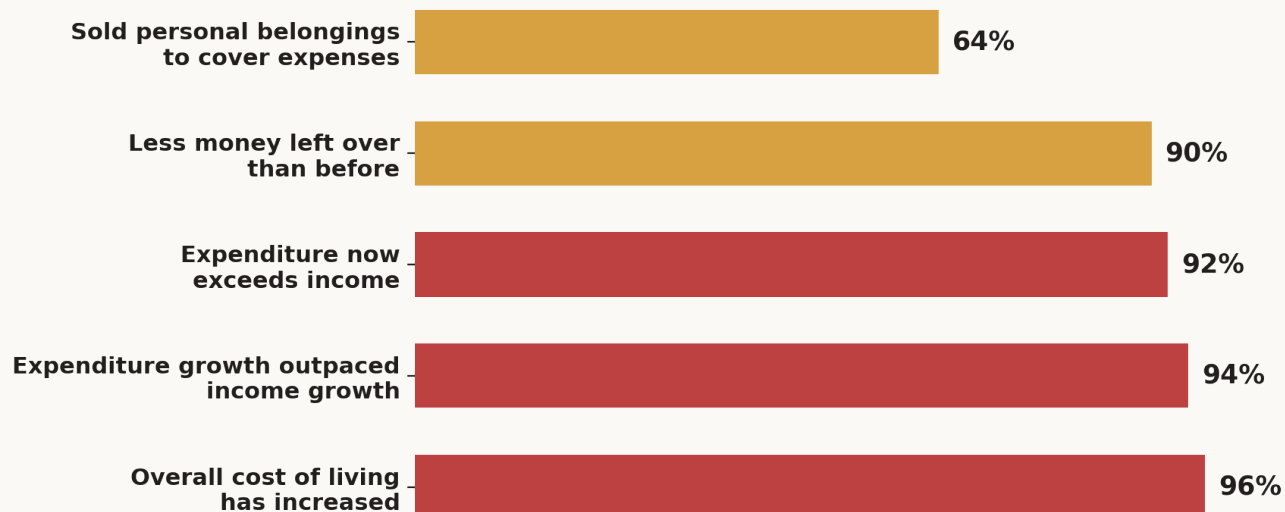
Expenditure increased across **every category measured** — food, transport, accommodation, academic materials, and utilities — while the reported increase in income/allowance lagged behind all five. Academic materials and utilities recorded the sharpest rise ($M = 4.54$ each), showing the shock propagated well beyond fuel-linked costs like transport.

KEY FINDING

96.5% of respondents agree the fuel subsidy removal caused their overall cost of living to increase, and **94.5%** say their expenditure growth has outpaced their income growth — the empirical core of this study, later confirmed statistically under Hypothesis One.

The Income-Expenditure Gap

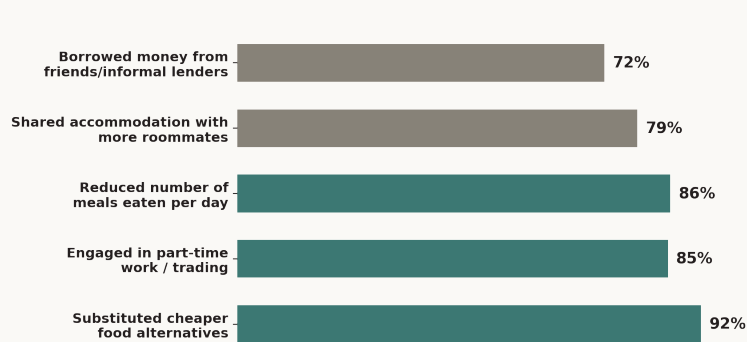
Share of respondents agreeing or strongly agreeing (%)



Nine in ten respondents (92.0%) now report that monthly expenditure exceeds monthly income, and a comparable share (90.0%) has less money left over after covering basic needs than before May 2023. Most strikingly, **64.0%** have resorted to selling personal belongings to cover expenses — the most severe coping response captured in the survey, and one that marks a majority of the sample as having reached the asset-depletion stage of financial hardship.

Coping Is Layered, Not Singular

Share of respondents who have adopted each strategy (%)



4.08 / 5

Composite coping score

55.0%

Adopted all 5 coping strategies

1.5%

Adopted none of the 5

Students are not relying on a single response but combining strategies across three fronts: **expenditure reduction** (cheaper food, fewer meals), **income diversification** (part-time work/trading), and **social-network reliance** (shared accommodation, borrowing). The average respondent had adopted just over four of the five strategies measured — coping here is simultaneous and layered, not occasional.

OBJECTIVE THREE

Where Support Falls Short

Share of respondents rating each support source as adequate (%)



INSTITUTIONAL GAP

University palliative measures are rated the **least adequate** of every support source measured — and every other item in the entire questionnaire (54.0%, $M = 3.29$) — with the widest spread of opinion in the study ($SD = 1.45$). Peer resource-sharing (80.0%) and family allowance increases (76.0%) are doing more of the work than formal institutional channels.

This pattern is consistent with the "buffering hypothesis" in social support research: informal networks — family and peers — appear to be absorbing much of the shock that formal institutional mechanisms have not adequately addressed.

Hardship Without Hopelessness

Share of respondents agreeing or strongly agreeing (%)



The wellbeing data reveal a genuine tension. A majority (60.0%) have considered taking a break from their studies due to financial pressure — a direct threat to academic persistence — and 69.0% say the removal has made it difficult to focus on their studies. Yet resilience persists: 91.0% remain confident they will complete their degree regardless, and 66.0% still regard the subsidy removal as a necessary policy for Nigeria's long-term development, even as 84.5% report a negative effect on their quality of life.

READING THIS TENSION

Students appear to separate their personal hardship from their assessment of the policy's broader economic rationale — a distinction, not a contradiction.

Formal Statistical Tests

Both hypotheses tested at the 95% confidence level ($\alpha = 0.05$)

HYPOTHESIS ONE · PAIRED T-TEST

Food/transport expenditure increase vs. income increase

Food/Transport (M, SD) 4.42, 0.67

Income/Allowance (M, SD) 3.99, 1.09

Mean difference 0.42

t(199) 5.33

p-value < .001 (one-tailed)

SUPPORTED — H0 REJECTED

Food and transport expenditure rose significantly faster than income — confirming the central empirical claim of this study.

HYPOTHESIS TWO · PEARSON CORRELATION

Coping intensity vs. perceived institutional support adequacy

Composite coping score (M, SD) 4.08, 0.67

Institutional support (M, SD) 3.29, 1.45

df 198

r 0.437

p-value < .001

SIGNIFICANT, BUT DIRECTION REVERSED

A significant relationship exists (H0 rejected), but it runs *positive*, not negative as hypothesised: students coping more actively rate institutional support somewhat *more* adequate, not less.

INTERPRETING THE REVERSAL

Two explanations are plausible: general acquiescence bias in Likert self-report data, or a substantive one — more resourceful, proactive students may be both more likely to adopt multiple coping strategies *and* more successful at discovering and accessing existing institutional support (e.g. NELFUND). Coping intensity and support-awareness may rise together as expressions of the same underlying resourcefulness.

Where to Act Next

Six recommendations addressed to universities, government, civil society, and students

01

UNIVERSITY MANAGEMENT

Review & Expand Student Welfare Interventions

Institutional palliatives were rated the least adequate support source. Expand subsidised transport, feeding programmes, and emergency financial assistance — targeting students who currently report receiving little or no support.

02

UNIVERSITY MANAGEMENT

Strengthen Early-Warning & Counselling Support

60.0% of respondents considered taking a break from studies due to financial pressure. Establish accessible financial counselling and hardship grants to help at-risk students stay enrolled.

03

GOVERNMENT & NELFUND

Simplify & Widen Access to Education Loans

NELFUND access was rated moderately but unevenly. Simplify application procedures and communicate eligibility clearly so support reaches the students who need it most.

04

GOVERNMENT

Introduce Targeted, Means-Tested Cushioning

Expenditure increases outpaced income across every category, not transport alone. Consider transport vouchers or feeding subventions administered through universities.

05

CIVIL SOCIETY ORGANISATIONS

Advocate for Tertiary Students as a Vulnerable Group

Use this evidence to press for tertiary students' explicit inclusion in the design of future palliative and compensatory measures accompanying macroeconomic reform.

06

STUDENTS & STUDENT ASSOCIATIONS

Formalise Peer Resource-Sharing Networks

Peer sharing was the most positively rated support source. Departmental and faculty associations could formalise cooperative food-purchasing or shared-accommodation schemes.

A Broad-Based Burden, Met With Layered Resilience

The removal of the fuel subsidy has imposed a substantial and broad-based economic burden on undergraduate students at OAU and UNIOSUN — manifesting not merely as higher transport and food costs, but as an across-the-board rise in the student cost of living that has outpaced income growth. Faced with this burden, students have not responded passively: they have adopted a layered combination of expenditure-reduction, income-diversification, and social-network survival strategies, with a majority also resorting to the more severe strategy of asset depletion.

Informal support from family and peers appears to be absorbing a meaningful share of this shock, while institutional support — university palliative measures — remains the least adequately rated of all sources available to students, and its perceived adequacy varies widely across the sample. Despite these pressures, students display considerable academic resilience and a nuanced, rather than wholesale, assessment of the policy itself, with most continuing to regard the reform as economically necessary even as they report significant personal hardship.

BOTTOM LINE

The evidence points to an urgent need for more deliberate, better-targeted institutional intervention to support student welfare during periods of macroeconomic reform — not because students have failed to cope, but because they have been left to cope largely on their own.

Study Snapshot	
Sample	200 undergraduates · OAU (120) & UNIOSUN (80)
Design	Quantitative, cross-sectional survey
Response rate	100%
Analysis	Descriptive statistics, paired t-test, Pearson correlation
Theoretical framework	Economic Shock, Social Support & Relative Deprivation Theory